TATA GROUP'S PERFORMANCE

N. Chandrasekaran made Tata larger and more profitable, but growth lost pace in recent years

MARKET CAP
₹26.5 lakh cr.
(as on Aug. 12, 2026)

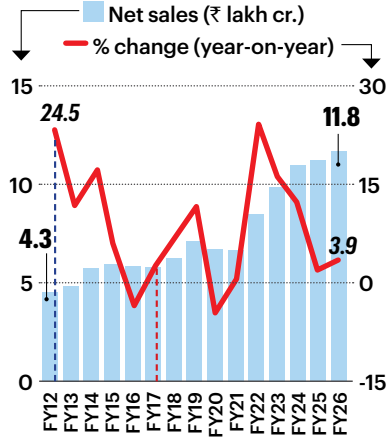
Dec. 2012: *Ratan Tata steps down as Tata Sons chairman*

Feb. 2017: *Chandrasekaran takes over after Cyrus Mistry's removal*

NET SALES

Weakening Momentum

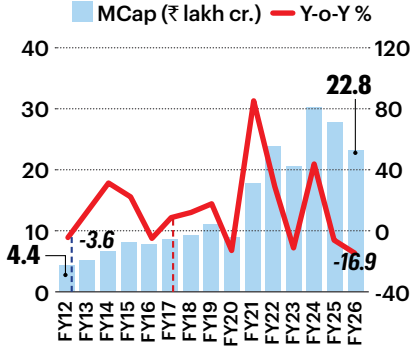
Under Chandra, net sales doubled, but y-o-y growth has now dipped



MARKET CAPITALISATION

Uneven Growth

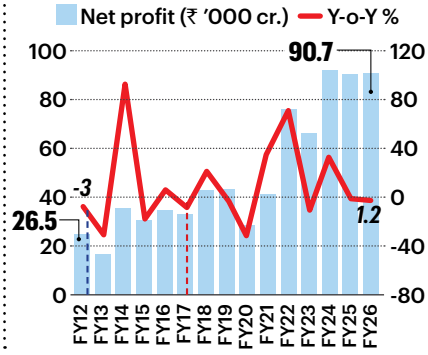
Market cap trebled, but y-o-y growth has now become negative



NET PROFIT

Tapering Gains

Net profits increased threefold, but gains have now plateaued



Note: Cumulative figures for all listed firms excluding Tata Capital and subsidiaries of listed firms
Source: Capitaline / Business Standard

others to New Delhi for talks. Days later, Mistry resigned from key trusts.

A major fault line within the Tata Group has been the proposed listing of Tata Sons. The RBI had classified Tata Sons as an "upper-layer" non-banking financial company (NBFC) in 2022, which would normally require listing within three years. Both Srinivasan and Vijay Singh are said to have been in its favour to raise the capital needed for the group's expansion. So are shareholders such as the Shapoorji Pallonji Group, which owns over 18 per cent of Tata Sons. Others, including Noel, want to preserve the company's private character to protect the group's philanthropic legacy. In June 2026, the RBI retained Tata Sons on a new list of 17 upper-layer NBFCs, while noting that this does not affect the group's pending application to surrender its NBFC registration.

CHANDRASEKARAN'S STRATEGIC BETS FALTERED. AIR INDIA POSTED A ₹22,238 CRORE NET LOSS IN FY26, TATA NEU SUPER APP FAILED TO GAIN TRACTION DESPITE HEAVY INVESTMENT

The question now is who will lead the Tata Group through this phase of uncertainty. In a statement, the Sir Dorabji Tata Trust said it "respects" Chandrasekaran's decision and has begun the process of forming a selection committee to find a successor. Under Tata Sons' amended Articles of Association, the Tata Trusts chairman cannot simultaneously serve as Tata Sons chairman. That rules out Noel unless he relinquishes his other role. This leaves the field open to an internal executive or an external professional.

GROWTH AND ITS COSTS

Chandrasekaran took charge of Tata Sons in February 2017, months after the acrimonious removal of Cyrus Mistry. He oversaw a sweeping restructuring that regrouped similar businesses through mergers and demergers to improve the operational synergy across the group, including the merger of Vistara with Air India in 2024. He also pushed the group into new-age sectors. Tata Electronics committed Rs 50,000 crore to a semiconductor plant; Tata Power outlined plans to invest Rs 75,000 crore in renewables by 2030.

"When Chandrasekaran assumed leadership in 2017, the Tata Group was already one of India's most respected business houses. Yet what followed was a remarkable re-rating of its public market value," says Deven Choksey, MD, DRChoksey FinServ. The market value of the group's listed companies nearly tripled and revenues doubled by FY26 (see *Tata Group's Performance*). Yet the impressive headline numbers conceal a more nuanced reality. "While the listed operating companies generated record profits, several of the group's strategic investments continued to absorb substantial capital," notes Choksey.

The most demanding of these has been Air India, brought back into the Tata fold in 2022. In FY26, it reported a net loss of Rs 22,238 crore. The crash of its London-bound flight shortly after take-off from Ahmedabad in June 2025 intensified scrutiny of the airline's legacy challenges, including years of underinvestment, labour unrest and an ageing fleet. More recently, on August 4, a Phuket-New Delhi flight suffered a sudden loss of altitude, and the pilot-in-command reportedly tested positive for marijuana. Air India has thus emerged as the clearest symbol of both Chandrasekaran's ambition and the risks that came with it. ■